

On consortial OA funding models and renewals

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Consortial OA funding models such as Knowledge Unlatched, the Open Library of Humanities, and others are non-classical economic setups. They are susceptible to free riders. These models have worked thus far because:

- Academic libraries are not necessarily classical economic actors;
- They spread the cost well and are often cheaper than options under the classical model;
- They are aligned with the desire of most library actors to achieve open access;

However, one of the most frequently recurring questions that I receive, when talking about what we're doing at OLH, is: "this is all well and good, but, when times get tough, won't you be the first initiative that libraries drop? Isn't this model a bit like voluntary taxation? Why will people continue to pay?"

There are many good reasons why librarians should not drop us as their first way to cut costs and that have borne out so far (to the best of my knowledge we have a 100% renewal rate at the moment):

1. We cost less than a *single* hybrid article processing charge at many publishers, including journals at Taylor & Francis and Elsevier. For that, we publish or support 23 (including recent and to-be announced titles) fully open-access journals, many of which used to be subscription based and

that have thereby provided offsetting. In our first year, these stats worked out at around \$1.10 per institution per article. If we flip this around and focus on unique users who visited article pages, it was just \$0.008 per institution per reader. If that isn't good value at an absolutely low price, I don't know what is.

2. We grow at a rate that libraries can control and, if they choose, stop. If libraries do not want us to take journals on board and ask for more funds, they can vote against our proposals. We are extremely cautious in what we take forward for expansion. So far, all library board votes have been overwhelmingly supportive. We also band contributions and are willing to individually negotiate with libraries if they are experiencing budgetary difficulties.
3. We are a not-for-profit charity. All of the revenue that we receive goes into the furtherance of our charitable objectives: to increase access to research for education purposes. We make a small surplus in order to ensure operational security but none of our revenue ever goes to shareholders.
4. We are persuading learned societies of the good of open access. The Andrew Marvell society has already moved its journal to our platform, the ASIANetwork likewise, the journal of the British Association for Contemporary Literary Studies as well, we support the Journal of the Association for Laboratory Phonology, and the journal of the European Architectural History Network. We have another society journal to announce shortly. Sometimes learned societies have been deeply hostile towards open access because of its perceived challenges for society membership. We do active good in this space by showing societies how they can most broadly disseminate their research findings. Without library support, this will dry up.
5. We present an alternative to article processing charges, which are not a scalable solution for many universities.
6. If libraries cancel, we will simply fold. We are a young, new publisher making a path for alternative open-access models. If libraries want that, then we will continue. If they don't – and instead prefer other routes – that is also their choice. We do not believe this is a good way to go,

since the existing scholarly communications marketplace is no such thing (it has barely any competition and incumbent entities wield huge financial power). Why should libraries cancel and give their money, instead, to other entities that have extorted them for 30+ years?

These are, I believe, the reasons why our renewal rates have been so good so far. I put this here so that I have it for my own reference and for others who have this (frequent) question of the OLH.